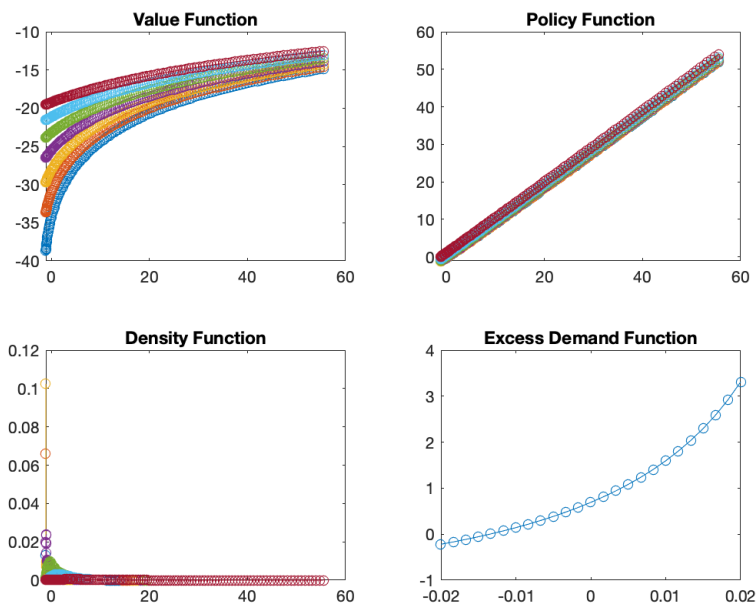


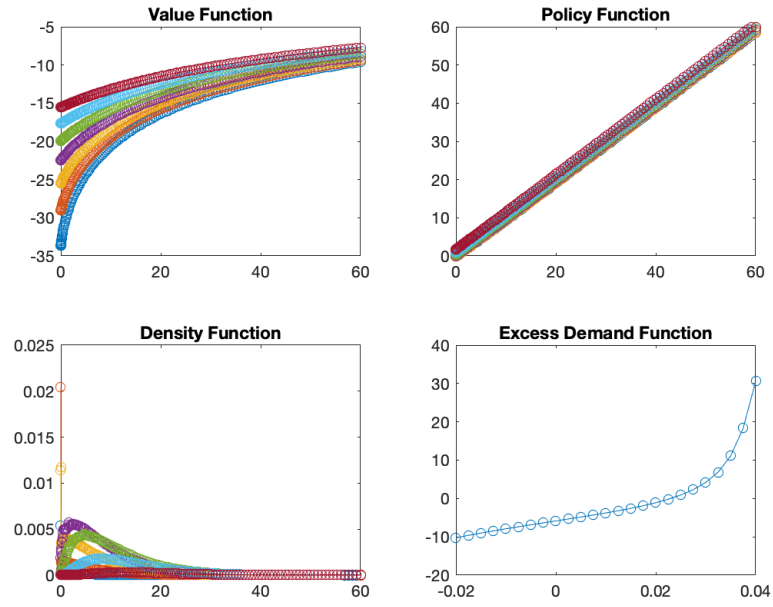
ECON 527 Problem Set 4 Answer Key

1. See attached code
2. I use a bracketing algorithm (Matlab's `fminbnd`) to compute the equilibrium interest rate, which is $r = -0.0135$. Graphs (including the excess demand function from question 4):



The upper bound of the wealth grid is not binding in equilibrium - all agents with wealth ≥ 20.01 decumulate assets.

3. I use the fixed point iteration algorithm to compute the equilibrium interest rate, which is $r = 0.023$. Graphs (including the excess demand function from question 4):



The upper bound of the wealth grid is (barely) not binding in equilibrium
- all agents with wealth ≥ 59.2 decumulate assets. The statistics are:

Statistic	Value
Gini coefficient	0.538
Top 10%	34.21%
Top 1%:	5.53%